

BITS PILANI, DUBAI CAMPUS
Dubai International Academic City, U.A.E.
Semester I 2019-2020
Comprehensive Examination (CLOSED BOOK)

Course No: HSS F221	Course Title: Modern Political Concepts	
Date: 31.05.2020	Time: 3 hours	Maximum Marks: 40 Weightage: 40

Section A

MCQ Type Questions (1mark each) Choose the most appropriate Answer (only one)

1. Which one of the philosophers mentioned below was opposed to private property and termed it theft?
a) Rousseau
b) Karl Marx
c) V I Lenin
d) Proudhon

2. Human labour is the source of economic value. Who made this statement?
a) John M. Keynes
b) Adam Smith
c) Karl Marx
d) None of these

3. A group of protesters outside an assembly hall is having banners in their hands which reads 50/50 by 2030. Which political ideology they represent to?
a) Communists
b) Liberals
c) Feminists
d) Seculars

4. Hierarchy is the key idea of which political ideology?
a) Socialism
b) Communism
c) Liberalism
d) Conservatism

5. The inequality is a political choice. It is something societies opt for. Who made this observation?

- a) Karl Marx
- b) Adam Smith
- c) Thomas Piketty**
- d) Mary Wollstonecraft

6. Inspired by one of the following philosopher's writings, Mahatma Gandhi developed respect for labour and concerns for the poor.

- a) Leo Tolstoy
- b) John Ruskin**
- c) Karl Marx
- d) V I Lenin

7. Who stated that the nations and nationality is an imagined concept ?

- a) Benedict Anderson**
- b) Thomas Piketty
- c) Leo Tolstoy
- d) Mahatma Gandhi

8. Which of the following nationalism believes that 'some nations are suited to rule; others are suited to be ruled'?

- a) Liberal Nationalism
- b) Conservative Nationalism
- c) Cultural nationalism
- d) Expansionist Nationalism**

9. I am holding a banner and a slogan written on it reads: *Equality, Liberty, Fraternity*, who I am?

- a) A liberal**
- b) A feminist
- c) A socialist
- d) A Communist

10. Elite in a society would be more realistic than the common people. Who made this comment to support aristocracy?

- a) Johan Stuart Mill
- b) Edmond Burke**
- c) Plato
- d) Aristotle

Section B

Short Answer Questions (300 words each)

20 marks (5 marks each)

1. Thomas Hobbes and John Locke believe that the emergence of the state is a result of Social Contract. Men lived in a “state of nature” and the society was anarchic before the emergence of state. Do you think without the State society will descend into a chaos? (Hint: an alternative view- voluntary cooperation and mutual aid not a hierarchical organization brings normalcy in the society.)
2. Describe the context which led the UN adopt Responsibility to Protect? Why it is considered a controversial concept now?
3. **What is Aristocracy? Why modern democracies are termed as Aristo-democracy? (You should have following broader points in your answer)**
4. What is the general view among common people about “Anarchism”? As a political concept what Anarchism is and what the anarchists want to achieve?

Section C

Short Essay : Interpreting the text (300 words each)

10 marks (5 marks each)

Q 1. Please read the following Text and based on your study of Modern Political Concepts, write your observation on how a Classical Capitalist, Modern Capitalist and a Marxist will interpret US government's Stimulus package?

During the 2008 financial crisis, Wall Street banks and other big financial institutions were deemed “too big to fail.” The crisis unleashed by the pandemic has broadened that elite status to a significant swath of the American private sector.

In a bid to soften the coronavirus's economic blow, the government has stretched its financial safety net wide — from strategically sensitive companies, to entire industries such as energy and airlines, to the market for corporate bonds.

“The ‘too big to fail’ that existed for banks has now extended to a lot of other firms,” said Luigi Zingales, a University of Chicago professor of finance who has long studied the interplay of government, regulation and the private sector.

A decade ago, the Federal Reserve was instrumental in keeping the banking system from going bust. This time around, the Fed's actions are far more sweeping, and it has essentially propped up entire financial markets with its bottomless ability to buy assets with freshly created money.

Jerome H. Powell, the Fed chair, has signaled that the central bank will continue to do so. On Monday, the stock market closed up 3.2 percent, bolstered partly by comments from Mr. Powell, who said there was “really no limit” to what the central bank could do with its emergency lending facilities.

“The one thing I can absolutely guarantee is that the Federal Reserve will be doing everything we can to support the people we serve,” Mr. Powell said during a television interview broadcast on Sunday.

The market also got a bump on Monday after Moderna, a manufacturer of a potential coronavirus vaccine, reported favorable results in an early trial.

While the Fed says it does not seek to keep stock prices up, the market has rebounded some 30 percent since the institution began its giant program to pump trillions of dollars into financial markets. It has bought billions of dollars' worth of U.S. Treasury bonds and government-insured mortgage bonds, keeping the prices of those bonds up and pushing yields, which move in the opposite direction, down.

The Fed also announced recently that it would start to buy exchange-traded funds that hold a diversified portfolio representing large parts of the more than \$9 trillion corporate bond market and would move on to buying corporate bonds directly "in the near future." Since such bonds serve as the basis for new borrowings, this lowers the cost of raising money for corporations tapping the bond markets.

"In this cycle, it is not a specific institution that is too big to fail — it is the investment-grade bond market that is too big to fail," Scott Miner, global chief investment officer at Guggenheim Partners, which has more than \$200 billion under management, wrote in a recent client note.

The government has also earmarked enormous sums for certain industries. Airlines could receive some \$50 billion in loans and aid in the \$2 trillion CARES Act. The law set aside around \$17 billion "for businesses critical to maintaining national security," a pot widely seen as being intended for the aerospace and military giant Boeing, which was struggling even before the coronavirus all but halted air travel. (News of the backstop ultimately helped Boeing avoid taking government money, as investors were more confident about lending it money in the bond markets.)

These sorts of government actions produce strong feelings, especially among those who say the sink-or-swim discipline of markets that operate without government support leads to a stronger and more dynamic economy. Government involvement risks creating a generation of zombie companies too weak to succeed without Uncle Sam's help, the argument goes, and interferes with the process of destruction and innovation that makes capitalist economies productive.

Could be. But, for investors, such points are largely irrelevant. The bailouts, backstops or safety nets are a reality. That suggests that the conventionally accepted rules of investing are changing. Investors who expect markets to adhere to free-market dogma will quickly find themselves flummoxed by the movement of prices.

Q 2. You have studied that classical capitalist predicted that the laissez faire concept and law of supply and demand will help fix the price. Moreover, it is believed that an invisible hand regulates the market and market works best without the government intervention. Read the following article and find out how Birkin bags defy the concepts suggested by the classical economists?

On a flight from Paris to London in 1983 Jane Birkin, an Anglo-French chanteuse and actress, spilled the contents of her overstuffed straw bag, including her Hermès diary. Jean-Louis Dumas, Hermès's chief executive at the time, gallantly picked it up. They chatted about overflowing containers in general and her inadequate weekend bag in particular. Dumas, who had not only exquisite manners but also a fine nose for opportunity, designed a receptacle to her specifications that has become the world's most expensive handbag. Prices start at \$7,000; in June Christie's Hong Kong sold a matte Himalayan crocodile-skin Birkin with a ten-carat diamond-studded white-gold clasp and lock for \$300,168.

Part of the explanation for the bag's exorbitant price – and the one that Hermès likes to emphasise – is the exquisite workmanship. Each Birkin is the handiwork of a single craftsman, who takes up to 18 hours to complete the job, more if the hide is a delicate crocodile skin. Hermès says its prices are based on its costs, which are necessarily high. Yet the many man-hours and fine materials that go into the making of the bag may not account for much of its price: Luca Solca, an equity analyst at Exane BNP Paribas, estimates that the production cost of a basic Birkin is around \$800.

At this point, an economist would tend to usher in the argument made by Thorstein Veblen, an American economist and sociologist, who, in 1899, put forward the idea of “conspicuous consumption” in his classic takedown of capitalism, “The Theory of the Leisure Class”. So-called Veblen goods reverse the normal logic of economics. With most goods, demand falls as price rises; with Veblen goods, the higher the price, the higher the demand, for the more

expensive they are, the more effectively they proclaim the status of their owners. The gap between the cost of producing a Birkin and the price tag suggests that it falls into this category.

Yet in a couple of ways, Birkins do not look like classic Veblen goods. First, they're not all that conspicuous. Almost everyone can identify the provenance of Gucci's double-G spangled Dionysus shoulder bag; only initiates can spot a Birkin. So Veblen's theory needs to be adapted to explain the power of inconspicuous but expensive goods. The authors of "Signalling status with luxury goods: the role of brand prominence", which appeared in the *Journal of Marketing* in 2010, do so by dividing the rich into two groups: "parvenus", who want to associate themselves with other rich people and distinguish themselves from have-nots, and "patricians", who want to signal to each other but not to the masses. They theorise that more expensive luxury goods, aimed at patricians, will have less obvious branding than cheaper ones. Sure enough, they found that Gucci and Louis Vuitton charge more for quieter handbags and Mercedes slaps bigger emblems on its cheaper cars. People who cannot afford luxury but want to look as if they can ("poseurs") go for big logos: counterfeiters usually copy louder goods.

Secondly, the producers of Veblen goods ought to raise prices until they are just below the point at which normal economic laws start to reassert themselves. But, as the existence of a flourishing secondary market suggests, Hermès could charge far more than it does for a Birkin. Instead of rationing by price – standard market practice – Hermès rations by queue. You cannot walk into an Hermès boutique and expect to walk out with a violet ostrich 30cm bag with palladium hardware, or indeed a Birkin of any description. You have to place an order, and wait. Hélène Le Blanc, then a lawyer working in Paris, was initially rebuffed when she approached the flagship shop in Faubourg Saint-Honoré several years ago. Once she persuaded the saleswoman that she was serious, and willing to wait, she was presented with binders filled with leather samples and hardware options, and allowed to place an order. About two months later she received a registered letter saying the bag was ready. Florence Paul, a public-relations consultant in London, says a friend of hers took up a collection to buy her mother a Birkin for her 60th birthday; it was ready for her 61st.

That is why the Birkin has its own literary sub-genre while the expensive but accessible Chanel 2.55 does not. In an episode of “Sex and the City” from 2001 Samantha jumps a five-year queue by claiming she wants the bag for actress Lucy Liu. Wednesday Martin recorded the competitive-consumption behaviours triggered by the Birkin bag among rich New Yorkers in her book “Primates of Park Avenue”. An entrepreneurial American, Michael Tonello, squeezed a memoir, “Bringing Home the Birkin”, out of his buying escapades in Europe.

So why does Hermès starve the market for Birkins, when it could sell many more, and so make much more money? Hermès says that the constraint is the availability of high-quality skins and people qualified to work with them. Hermès’s leather-goods division (*métier*, in company parlance) hires 200 craftspeople a year and takes two years to train them. The limit on the number of bags that can be made is therefore a natural one. Like gold and Bitcoins, Hermès suggests, Birkins are mined, not simply made.

But as Solca observes, there are good commercial reasons why rationing by queue rather than price can make sense. First, it gives Hermès a buffer: even if demand drops, sales will not. Second, it creates surplus demand for the bags, which overflows into demand for other Hermès products. Much of the firm’s business consists of selling consolation prizes: wallets, belts, beach towels and so on. As J.N. Kapferer of the Inseec Luxury Institute in Paris observes, the wait induces “impatient buyers to switch to other products of the brand, to calm their hunger until the much-awaited object of desire is achieved.” Third, although market-clearing prices might raise profitability in the short term, in the long run they would drive French women away, leaving nouveaux riches from the developing world as the bags’ main buyers. If elegant Parisiennes lose interest, so, eventually, will women who aspire to be like them.

But the balance between making few enough to keep consumers hungry and enough to keep the brand’s profile high is a delicate one. Do not imagine minuscule production runs, meant for a handful of cognoscenti. Solca guesses that Hermès makes 70,000 Birkins a year and that a million are in circulation. If exclusivity, or the perception of it, were just a function of rarity, Birkins would yield to some of their competitors. Delvaux, a Belgian luxury house founded in 1829 (eight years before Hermès), makes 60,000 items a year all told and claims to rival Hermès

in quality. But its Brillant and Tempête handbags cost 15-20% less than a Kelly (the Birkin's slightly less famous but equally unattainable sister) in part because compared with Hermès, "we are a dwarf", as Christina Zeller, Delvaux's artistic director, puts it. The Birkin and the Kelly need to be big enough for people to know about them, but not so big that their value is undermined. The perception of exclusivity thus depends on a ratio: the number of people who want something compared with the quantity available to satisfy that demand.

Can Hermès keep that ratio high? Part of the power of the Birkin is that it was born of serendipity, not marketing. Think back to the fateful mid-air meeting between Dumas and Birkin. He was assisting her as much as adorning her – solving a problem, not signing a celebrity-endorsement deal. As Zeller points out, there is a "full story" to be told about Birkin and the bag. The fact that Birkin recently threatened to withdraw her name from the crocodile-skin version of the bag after allegations that a farm that supplies skins to Hermès mistreated the animals shows that the company is beholden to its muse, rather than – as is usually the case with celebrity endorsements – the other way round.

But the trouble with serendipity is that it cannot be manufactured. Hermès was "not able to launch another iconic bag in 32 years", points out Mario Ortelli of Bernstein, an equity-research company. At best, the company can tend to the flickering aura that surrounds the two it has. That may be getting harder. Sophisticated buyers do not identify with starlets like Kim Kardashian and Tamara Ecclestone, who flaunt their large Birkin collections. "When you see some celebrity stepping out of an SUV with a bag, it takes away from the mystique," says Le Blanc. She fears the Birkin is becoming "too exposed". All big luxury brands fret about that risk, but even here the Birkin stands apart. The danger of over-exposure comes not from the zeal of its marketing but from the ardour of its fans.